

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-17

**OCEAN NETWORK EXPRESS PTE. LTD. – POSSIBLE VIOLATIONS
OF 46 U.S.C. § 41102(c)**

**JOINT MEMORANDUM IN SUPPORT OF
PROPOSED SETTLEMENT**

Ocean Network Express Pte. Ltd. (ONE or Respondent)¹ and the Bureau of Enforcement, Investigations, and Compliance (BEIC)² (collectively, the Parties) hereby submit this joint memorandum in support of the proposed Settlement Agreement appended hereto. The Parties believe that the proposed agreement meets the Federal Maritime Commission's (Commission) criteria for approval of agreements resolving administrative enforcement claims and, therefore, should be approved.

I. INTRODUCTION.

The Commission issued an Order of Investigation and Hearing (OIH) commencing an adjudicatory investigation against Respondent for possible violations of 46 U.S.C. § 41102(c) on

¹ Ocean Network Express (North America), Inc. was dismissed from the proceeding by order of the Presiding Officer on May 4, 2022, and so is no longer a party to this proceeding. The Parties have adjusted the caption accordingly.

² BEIC is the successor to the Bureau of Enforcement (BOE). As used herein, BEIC includes BOE and other predecessor names, except in quotations.

December 31, 2021. Order of Investigation and Hearing (OIH). The Parties proceeded to discovery, and, after several discovery disputes, jointly moved for approval and confidential treatment of their settlement agreement, and for the action to be dismissed with prejudice. *See* Docs. 21-35; Joint Mot., Doc. 41. On June 28, 2022, the ALJ approved the confidential settlement in her initial decision, which the Commission reversed. Order Reversing the Initial Decision and Remanding (Reversal and Remand Order) at 4. Upon remand, the Parties resumed settlement discussions and agreed to a revised settlement, in the form of the attached Settlement Agreement.³ The revised Settlement Agreement addresses the purpose the Commission articulated in its OIH and Order Reversing the Initial Decision and Remand; specifically, the rules in Subpart W, which govern, among other things, the assessment of civil penalties 46 C.F.R. §§ 502.601-502.605.⁴

The Parties agree to resolve their legal dispute in the Settlement Agreement and agree that settlement is in the interest of both parties, as it conserves litigative and administrative resources. Furthermore, the Settlement Agreement addresses the Commission's enforcement interests of deterrence and compliance, while providing clarity and benefits to the shipping public, such as, immediate relief to third parties performing vital supply chain activities. A summary of terms of the Settlement Agreement are as follows:

1. ONE will pay a civil penalty of \$131,332.00;

³ "Settlement Agreement" as used herein refers only to the revised, attached agreement. References to the prior settlement will be in the form "original settlement agreement."

⁴ Under 46 C.F.R. § 502.603(b), "[i]n determining the amount of any penalties assessed," the Commission is required to: "take into account the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission's rules and regulations and the applicable statutes. The Commission shall also consider the respondent's degree of culpability, history of prior offenses, ability to pay and such other matters as justice requires."

2. ONE will immediately limit the use of its Bill of Lading “Merchant” definition in the U.S. foreign trade to shippers, consignees, and persons with a beneficial interest in the cargo (46 C.F.R. § 515.2(b));
3. ONE will add an explanatory note to its U.S. tariff explaining its “Merchant” limitation;
4. ONE agrees to the issuance of a cease-and-desist order prohibiting ONE from collecting monies owed ONE under its bill of lading from non-Merchants or entities with whom ONE has no direct contractual relationship; and
5. ONE will immediately stop invoicing non-Merchants or entities with whom ONE has no direct contractual relationship.

The Parties note that, in part, the subject matter of the OIH and this settlement agreement is currently being addressed by the Commission in rulemaking and that the settlement agreement provides relief to the shipping public now, rather than when a final rule is issued.

II. ARGUMENT AND AUTHORITIES.

A. Commission Policy to Encourage Settlement

As the Commission recognized in the Reversal and Remand Order the “Commission has a longstanding policy of encouraging settlements and applies presumptions favoring a finding that the terms are fair, correct and valid.” Reversal and Remand Order at 4-5 (citing *World Chance Logistics (Hong Kong), Ltd. – Possible Violations of Section 10 of the Shipping Act*, 2010 FMC Lexis 27, at *5 (FMC 2010). Likewise, in *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, FMC Docket No. 21-04, 2021 FMC Lexis 190 (citing *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)), the Presiding Officer explained that the FMC has a “strong and consistent policy of ‘encouraging settlements and engaging in every

presumption which favors a finding that they are fair, correct, and valid.”⁵ The Commission finds settlements especially supportable when the parties are confronted with the prospect of expensive, further litigation and uncertainty as to the outcome. *Celanese Corp. v. The Prudential Steamship Co.*, 20 S.R.R. 27, 30 (ALJ 1980). This is because settlement ““allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.”” *Smartstone*, 2015 FMC Lexis 15 at *5 (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (2009)). Finally, as explained in the Reversal and Remand Order, settlement of an enforcement proceeding requires consideration of 46 C.F.R. Subpart W, which, *inter alia*, provides standards for evaluation of civil penalties. Reversal and Remand Order at 5-6.

B. The Settlement Agreement Should Be Approved

1. Criteria for Approval of Settlement

To discharge the duty imposed by 46 C.F.R. § 502.603(a), the Presiding Officer must decide whether the proposed settlement satisfies the appropriate criteria for approval. In so deciding, the Presiding Officer generally "reviews a settlement agreement to ensure that it does not contravene law or public policy. Such review typically includes evaluating factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake." *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing (a.k.a. Johnny Yu) – Possible Violations of Section 10 of the Shipping Act of 1984 (World Chance)*, 31 S.R.R. 1346,

⁵ See, e.g., *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092 (I.D. 1978) (“law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid”); *American Stevedoring, Inc. v. The Port Authority of New York and New Jersey*, 2011 FMC Lexis 13, at *4 (I.D., admin. final 2011); *Smartstone Private Limited v. General Noli USA, Inc.*, 2015 FMC Lexis 15 at *5 (I.D., admin. final 2015).

1350 (FMC 2010) (citations omitted). The Presiding Officer will also review the terms of a settlement agreement, "to ensure that the terms are fair, reasonable, and adequate." *Id.*

The review also considers whether the proposed settlement agreement satisfies the appropriate criteria for approval with regard to the issue of penalty assessment. The appropriate criteria for approving proposed settlements where a penalty assessment is present are as follows:

[S]ettlement may be based upon a determination that the agency's 'enforcement policy in terms of deterrence and securing compliance, both present and future, will be adequately served by acceptance of the sum to be agreed upon'; that 'the amount accepted in compromise . . . may reflect an appropriate discount for the administrative and litigative costs of collection having regard for the time it will take to effect collection'; the value of settling claims on the basis of pragmatic litigative probabilities, i.e., the ability to prove a case for the full amount claimed either because of legal issues involved or a bona fide dispute as to facts; and that penalties may be settled 'for one or for more than one of the reasons authorized in this part.'

Far Eastern Shipping C- - Possible Violations of Sections 16, Second Paragraph, 18(b)(3) and 18(c), Shipping Act, 1916, (FESCO), 21 S.R.R. 743, 759 (Initial Decision; administratively final, May 7, 1982). Subsequent to *FESCO*, the Commission reaffirmed that potential costs and uncertainties of success are valid factors to be considered both in the negotiation of a settlement, and in view of a settlement agreement. *Investigation of Unfiled Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc., (Yangming)* 24 S.R.R. 910 (Order Adopting Initial Decision, Mar. 30, 1988).

In accordance with the Commission's previous analysis, evaluation of proposed settlements is based on balancing multiple factors, including effectuation of agency enforcement policy, deterrence of future violations by respondents and the industry, benefits to the shipping public, litigative and administrative costs, the risks of litigation, and such other matters as justice may require. That balance of these favors approval of this proposed settlement.

2. Voluntary Dismissal Pursuant to 46 C.F.R. § 502.72(a)(3)

The full text of the agreement is public and is submitted along with this memorandum in compliance with 46 C.F.R. § 502.603(a). As such, the agreement will inform other carriers and the shipping public so they may take note of its terms and conform their conduct thereto. The Settlement Agreement is free of fraud, duress, undue influence, mistake, or other defects which would otherwise result in its disapproval. The settlement is the result of arms-length, good-faith negotiations conducted with the advice of counsel. Approval of the Settlement Agreement is proper inasmuch as it does not violate any law or policy.

3. Subpart W Penalty Factors– 46 C.F.R. §§ 502.601-502.605

Subpart W governs, among other things, the assessment of civil penalties. “Under § 502.603(b), ‘[i]n determining the amount of any penalties assessed,’ the Commission is required to: ‘take into account the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission’s rules and regulations and the applicable statutes. The Commission shall also consider the respondent’s degree of culpability, history of prior offenses, ability to pay and such other matters as justice requires.’” Reversal and Remand Order at 6.

In addressing the penalty factors the Parties do not attempt to state how the Commission would or should come out if the matter were to be litigated to completion. Rather, each side has arguments they would press in any further litigation.

a. Nature, Circumstances, Extent, and Gravity of the Violations

ONE does not admit any violations and would contend that any violative act(s) found could

number no more than the two bills of lading originally identified in the OIH. ONE also asserts

that multiple mitigating factors exist that weigh in its favor. ONE believes the Settlement amount is significant because it exceeds the maximum allowed by law.⁶

BEIC would contend that the violations are serious, that the nature, circumstance, extent, and gravity are all aggravating factors that compel a commensurate penalty. The penalty amount in the Settlement Agreement is based on the two bills of lading identified in the OIH and calculated using the maximum amount for a knowing and willful violation. BEIC asserts that the Settlement amount is fully in alignment with the maximum allowed by the Shipping Act of 1984 (Shipping Act) inclusive of the application of the current inflation adjustment stated in the Commission's regulations at 46 C.F.R. § 506.5, "Any adjustment in a civil monetary penalty under this part shall apply only to civil monetary penalties, including those whose associated violation predated such increase, which are assessed after the date the adjustment takes effect." The current penalty amounts, \$65,666 for each of the two knowing and willful violations, became effective January 15, 2022. 87 F.R. 2350, 2351 (Jan. 14, 2022). Two multiplied by \$65,666 equals \$131,332, the amount of civil penalty agreed to under the Settlement Agreement.

Beyond the dollar amount of the civil penalty, the true value of the Settlement Agreement lies in ONE's agreeing to immediately alter its practices in the U.S.-foreign trades. The Settlement Agreement coupled with the issuance of a cease-and-desist order will deter future similar violative acts by ONE. Moreover, it will serve as notice to other VOCCs that a merchant clause inclusive of third parties who are not in contractual privity with the carrier, who have no beneficial interest in the cargo, and who have not consented to the carrier's bill of lading terms and conditions, may run afoul of the Shipping Act.

⁶ See, Docket No. 21-09, *Hapag-Lloyd, A.G. and Hapag-Lloyd (America), LLC, Possible Violations of 46 U.S.C. § 41102(C)* 2022 FMC LEXIS 156, *75 (I.D., April 22, 2022) (penalty amount at the time of the violations is used in calculation of penalties)

b. Degree of Culpability

With respect to the degree of culpability the Parties have differing opinions. Despite the difference of opinion, the Parties believe settlement is in their collective best interests. ONE asserts that it named Greatway as a defendant in *Ocean Network Express (North America), Inc. v. Pacific Lumber Resources, Inc* C.A. No. 4:20-cv-01734 (S.D. Texas) filed on May 18, 2020 (“Texas Litigation”) in good faith and based on federal maritime law. ONE would further argue that, even if it violated the Shipping Act, its violation was not knowing and willful. BEIC, however, would respectfully disagree. BEIC would argue that ONE knowingly and willfully established a practice of unreasonably holding third parties liable through its bill of lading (merchant clause) in violation of the Shipping Act. ONE and BEIC agree that culpability is capped in this Settlement Agreement for two knowing and willful Shipping Act violations.

c. History of Prior Offenses and Ability to Pay

The Parties agree that ONE has no history of prior offenses and that ONE has the ability to pay the agreed upon civil penalty.

d. Other Matters as Justice Requires

The Settlement Agreement significantly benefits the shipping public by requiring ONE to change its activities promptly, not at some future undetermined date. Pursuant to the settlement, ONE agrees to immediately modify the interpretation of its Merchant clause with respect to the U.S.-foreign trades, limiting the term to shippers, consignees, and entities with beneficial interest in the cargo, and to explain the revised definition in its tariff. ONE also agrees to immediately cease and desist invoicing non-Merchants (as re-defined) or entities with whom ONE has no direct contractual relationship under its bill of lading and to formalization of that obligation in a cease-

and-and desist order. Thus, the Settlement Agreement fully resolves the behaviors raised in the OIH, addresses the concerns expressed by the Commission in Docket No. 20-16⁷, and brings instant relief for the industry from such practices. The cease-and desist order ensures that such relief will persist until modified or superseded by subsequent Commission guidance, such as issuance of a final rule regarding the matters addressed in the settlement agreement.

4. Enforcement Policy of Deterrence and Compliance

With respect to the policy of enforcement, BEIC stresses the importance of ensuring compliance with the Shipping Act of 1984. ONE supports the Commission's objectives and has, in addition to payment of a civil penalty, agreed to significantly alter its tariff terms, as well as its behavior thereunder, for all shipments within the jurisdiction of the Commission.

The relief agreed to by ONE provides assurances of deterrence and future compliance. The Settlement Agreement requires ONE to change how it defines Merchant in the U.S. trades and who it invoices and imposes liability under its bill of lading. ONE's commitment to these changes is reflected in its agreement to a cease-and-desist order. The agreed civil penalty adds further weight to the deterrent effect. ONE also recognizes that its failure to comply with the cease-and-desist order may result in much higher penalties being demanded by the Commission in any enforcement action resulting from such failure. Additionally, approval of the Settlement Agreement would put other ocean common carriers on notice and is likely to deter them from engaging in similar practices.

⁷Docket No. 20-16, *Vessel-Operating Common Carrier Definition and Application of the Term "Merchant" in Bills of Lading*, Notice of Inquiry, 4-5 (published October 7, 2020).

5. Litigative Realities

The litigative realities and cost of continued litigation weigh in favor of approving the Settlement Agreement. The decision to settle reflects the consideration that, if the matter were not settled, both parties would be expected to vigorously defend their respective positions.

ONE would argue, *inter alia*, that:

- The First Amendment and Shipping Act preclude the Commission from finding a violation based on a decision by a regulated entity to petition for redress of grievances by bringing a non-frivolous lawsuit in federal court.
- The Commission may not find ONE to have violated the Shipping Act as a matter of Due Process, as ONE was denied “fair notice” of the FMC’s interpretation that the Shipping Act precludes ocean common carriers from pursuing charges against entities not formally party to the bill of lading.
- BEIC cannot prove the elements of a violation.

Finally, in the absence of a settlement, ONE would be expected to mount a vigorous defense against many of the factual allegations in the OIH. It would, for example, argue that Greatway may have had a “beneficial interest” in the cargo, as that term is defined in the FMC regulations, and may have been liable for the demurrage charges under principles of federal maritime law.

BEIC would argue, *inter alia*, that:

- ONE’s definition of “Merchant” is overbroad and thus unreasonable because it ensnares third parties who lack privity of contract, who did not assent to be bound by the bill of lading terms, or who lack a beneficial cargo interest.
- Concerning the two ONE bills of lading identified in the OIH, Greatway did not contract with ONE for its services, did not assent to be bound by ONE’s Terms and Conditions, and had no beneficial interest in the cargo moved under the two bills of lading.

- Greatway and the two bills of lading cited in the OIH are two examples of the harm to third-party industry service providers that can result from ONE's unreasonable "Merchant" definition.

Acknowledging the Parties remain divergent on the merits of the case, they have carefully considered the costs, benefits, and risks of further litigation, and determined that settlement is in their mutual interests, as well as that of the shipping public. Both sides recognize the litigation reality that resolution of the proceeding by trial would be an expensive undertaking that would divert resources from each of the Parties. Moreover, it is likely that, even with the expedited schedule required by the Reversal and Remand Order, as implemented by the Presiding Officer's Revised Schedule issued on October 28, 2022, the likelihood of appeal to the Commission and the courts, the matter would take significant time to reach a final resolution. The settlement agreement by contrast, would resolve the matter without extended litigation bringing substantial valuable (and immediate) relief to the shipping public. Accordingly, consideration of the risks, costs, and uncertainties of continued litigation weighs in favor of approval of the Settlement Agreement.

III. CONCLUSION.

This Settlement Agreement represents a compromise by both Parties, negotiated by experienced attorneys on both sides. After careful consideration of the inherent uncertainty of litigation and the substantial expenditure of resources that would be required to bring the matter to final resolution, the Parties choose to settle. The Parties further note that the Settlement Agreement specifically addresses the concerns raised by the Commission in the Order to Reverse and Remand. The current Settlement Agreement significantly expands the limitations on ONE's activity and significantly raises the level of civil penalties to be paid as compared to the previous settlement.

The Parties submit that, for the reasons enunciated above, the terms of the Settlement Agreement are fair, correct, and valid, as well as consistent with Commission policy.

In light thereof, the Parties respectfully request that A) the Settlement Agreement be approved, B) that an order be entered against ONE ordering it to cease and desist (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship; and (2) all efforts at collecting monies owed to ONE from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship., and C) that this proceeding be dismissed with prejudice.

DATED: December 2, 2022

Respectfully submitted,

Theron R. Korsak

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CERTIFICATE OF SERVICE

I certify that on the 2nd day of December 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Theron R.
Korsak

 Digitally signed by Theron R.
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FEDERAL MARITIME COMMISSION

DOCKET NO. 21-17

**OCEAN NETWORK EXPRESS PTE. LTD. – POSSIBLE VIOLATIONS
OF 46 U.S.C. § 41102(c)**

SETTLEMENT AGREEMENT

This Agreement is entered into between:

(1) the Federal Maritime Commission’s Bureau of Enforcement, Investigations, and Compliance hereinafter referred to as BEIC, as successor to the Bureau of Enforcement, and

(2) Ocean Network Express Pte. Ltd. (ONE), hereinafter referred to as Respondent.

WHEREAS, the Federal Maritime Commission (Commission) instituted this proceeding against Respondent for the recovery of civil penalties for alleged violations of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 (Shipping Act); and

WHEREAS, BEIC was made a party to this proceeding; and,

WHEREAS, such a proceeding is based on the Commission’s allegation that Respondent engaged in certain practices, to wit:

ONE is alleged to have violated 46 U.S.C. § 41102(c) by overbroadly defining and applying the definition of “merchant” in ONE’s bill of lading (BOL) in such a manner as to unilaterally impose joint and several liability for freight and/or charges on a party with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the BOL.

Specifically, ONE is alleged to have unreasonably defined and applied its definition of a “merchant” to demand payment from a third-party, when the third party was not in privity of contract with ONE, did not have a beneficial interest in the cargo moved, and did not assent to be bound to ONE’s BOL Terms and Conditions or to be liable for payment of any charges due to ONE.

WHEREAS, the Commission is authorized under 46 U.S.C. § 41109, and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.601, *et seq.* to settle and collect civil penalties arising from the alleged violations set forth and described above; and,

WHEREAS, BEIC and Respondent believe it is in the best interests of the parties and the shipping public to resolve this proceeding under the conditions stated herein rather than engage in continued litigation;

WHEREAS, Respondent has agreed to modify its practices and agreed to undertakings intended to address the conduct that is the basis of the alleged violations set forth and described above;

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described above, Respondent and BEIC hereby agree upon the following terms and settlement:

1. Within five (5) calendar days after a decision approving this Settlement Agreement becomes administratively final, ONE shall make monetary payment of civil penalties to the Commission, by cashier's or certified check or by online payment, in the total amount of \$131,332.00.
2. Upon submission of this Settlement Agreement to the Administrative Law Judge, ONE will immediately publish and maintain as part of its U.S. tariff(s) (currently located on ONE's website at <https://www.one-line.com>) an express notice that ONE will not apply through its U.S. tariff(s) or U.S. bills of lading its definition of "Merchant" to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo (46 C.F.R. § 515.2(b)).
3. Upon submission of this Settlement Agreement to the Administrative Law Judge, ONE agrees to cease and desist (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship; and (2) all efforts at collecting monies owed to ONE from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship. ONE agrees to the entry of an Order by the Administrative Law Judge or the Commission directing ONE to cease and desist for this purpose.

4. It is expressly understood that ONE shall not be relieved of the above unless and until an applicable requirement of law, regulation, or Commission policy of general applicability has the effect of superseding the provisions set forth herein.
5. BEIC and ONE shall jointly submit to the Administrative Law Judge a motion seeking approval of this Settlement Agreement.
6. ONE hereby waives all rights now and, in the future, to seek judicial review or otherwise challenge or contest the validity of the order entered pursuant to this Agreement.
7. Upon a decision of the Administrative Law Judge or the Commission approving this Settlement Agreement becomes administratively final, this instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from ONE and its agents arising from the alleged violations set forth above as related to BOL nos. ONEYSAOU24000400 and ONEYSAOU24596300 identified in the Order of Investigation and Hearing.
8. It is expressly understood and agreed that this Agreement is not, and is not to be construed as, an admission by ONE to the alleged violations set forth above.
9. This agreement is subject to approval by the Commission in accordance with 46 C.F.R. § 502.603. If the agreement is not approved, all of ONE's obligations hereunder, including those set out in paragraph numbers 2 and 3, hereof, shall cease.

ON BEHALF OF RESPONDENT Ocean Network Express Pte. Ltd.

By: Jacob Lee

Title: Vice President & General Counsel

Date: December 2, 2022

ON BEHALF OF THE FEDERAL MARITIME COMMISSION

By: Lucille L. Marvin Digitally signed by Lucille L. Marvin
Date: 2022.12.02 10:23:17 -05'00'
Lucille Marvin, Acting Director
Bureau of Enforcement, Investigations, and Compliance

Date: _____